

## SMIC (0981.HK): AI demand to support UT rate and ASP ahead; Capacity expansion continues; Buy

**SMIC's 2Q26 GM beat our estimates ([report link](#)).** In 2H26, we expect the company to be driven by (1) continuous capacity expansion, (2) Rising demand on AI related analog/ logic chips with higher ASP, riding on Gen-AI trend, and (3) growing demand from local clients to secure the supply chain. The company capacity increased to 1.097mn wafer per month (wpm) by 2Q26 in 8" equivalent, vs. 1.08m wpm by 1Q26, and mgmt. expects to see continuous capacity expansion. Looking into 3Q26, we expect to see company's UT rate to maintain at elevated level, along with the ASP upward trend on strong AI demand and expanding clients. Maintain Buy. Read more in our [CHIPS-Act 3 report](#); [SMIC upgrade](#).

**Positive outlook for 2H26E.** During the earnings call, management noted the 3Q26 revenues guidance of 2%~4% QoQ is due to the pull-in during 2Q26, while remaining positive on the strong AI demand and solid orders from clients, especially the supporting chips for data centers, AI edge devices etc. Despite the growing depreciation cost, management expects to see ASP increase in 3Q, supporting the higher GM guidance of 26%~28% (vs. 25% in 2Q26), and the ASP to stay at high level through 2H26E.

**Continuous capacity expansion ahead:** SMIC's 2Q26 Capex came in at US\$1.8bn (or up 18% QoQ). 2Q capacity addition was 18.3k wpm (in 8-inch equivalent), vs. 19.5k wpm in 1Q26. Management maintains the guidance of the elevated Capex to bring 30% YoY growth of depreciation in 2026E. However, mgmt. notes the higher pricing and product mix upgrade should offset the impact from increasing depreciation cost.

**Earnings revision:** We factor in SMIC 2Q26 result and revise up earnings by 19%/ 15%/ 13%/ 13% in 2026-29E mainly on higher revenues of advanced nodes products, as we expect to see the accelerated capacity expansion ahead. GM was revised up by 2.3ppts~2.8ppts in 2026-29E, supported by higher pricing riding on strong demand and company's product mix upgrade.

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**Exhibit 1: Earnings revision**

| (US\$m)          | 2026E  |        |         | 2027E  |        |         | 2028E  |        |         | 2029E  |        |         |
|------------------|--------|--------|---------|--------|--------|---------|--------|--------|---------|--------|--------|---------|
|                  | New    | Old    | Diff    | New    | Old    | Diff    | New    | Old    | Diff    | New    | Old    | Diff    |
| Revenue          | 11,694 | 11,578 | 1%      | 14,392 | 13,869 | 4%      | 18,422 | 16,753 | 10%     | 22,435 | 19,967 | 12%     |
| Gross profit     | 2,863  | 2,557  | 12%     | 3,905  | 3,381  | 15%     | 5,360  | 4,449  | 20%     | 7,015  | 5,782  | 21%     |
| Operating income | 1,731  | 1,450  | 19%     | 2,378  | 1,989  | 20%     | 3,307  | 2,791  | 18%     | 4,428  | 3,751  | 18%     |
| Net income       | 1,408  | 1,184  | 19%     | 1,813  | 1,581  | 15%     | 2,579  | 2,278  | 13%     | 3,349  | 2,966  | 13%     |
| EPS (US\$)       | 0.18   | 0.15   | 19%     | 0.23   | 0.20   | 15%     | 0.32   | 0.28   | 13%     | 0.42   | 0.37   | 13%     |
| <b>Margins</b>   |        |        |         |        |        |         |        |        |         |        |        |         |
| Gross margin     | 24.5%  | 22.1%  | 2.4ppts | 27.1%  | 24.4%  | 2.8ppts | 29.1%  | 26.6%  | 2.5ppts | 31.3%  | 29.0%  | 2.3ppts |
| Operating margin | 14.8%  | 12.5%  | 2.3ppts | 16.5%  | 14.3%  | 2.2ppts | 17.9%  | 16.7%  | 1.3ppts | 19.7%  | 18.8%  | 1ppts   |
| Net margin       | 12.0%  | 10.2%  | 1.8ppts | 12.6%  | 11.4%  | 1.2ppts | 14.0%  | 13.6%  | 0.4ppts | 14.9%  | 14.9%  | 0.1ppts |

Source: Company data, Goldman Sachs Global Investment Research

**Valuation - SMIC (H): with the earnings estimate change, we raise 12m TP to HK\$153** (vs HK\$135 previously). We continue to apply a discounted P/E method. Our 12m TP is based on 80.7x 2028E P/E (unchanged), discounting back to 2026E with a COE of 15.0% (unchanged). Our target P/E of 80.7x is based on the relationship between peers' earnings growth and trading P/E (method unchanged, [Exhibit 3](#)).

**Valuation - SMIC (A):** We continue to base our A-share TP on **196% A-H valuation premium** (method unchanged). Our valuation premium is derived from the avg. A-H valuation premium of SMIC from Jan 2024. We believe the avg. A/H premium better reflects the narrowing gap between the valuation level of A share and H share. With the change in H-share TP, our A-share **12m TP is raised to Rmb257.9** (vs. Rmb243.4 previously).

**Exhibit 2: Discounted PE valuation: 12m TP of HK\$153.0**

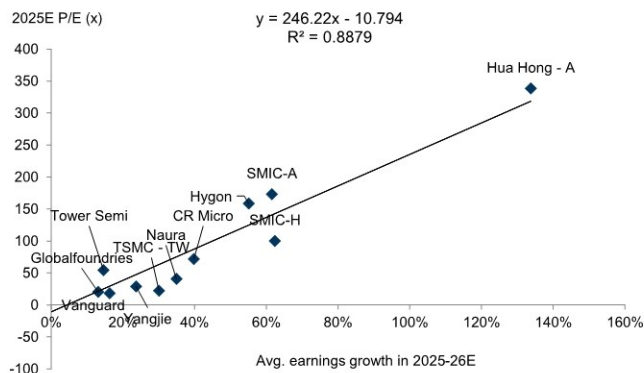
| (US\$mnn)                          | 2020  | 2021  | 2022  | 2023  | 2024  | 2025  | 2026E  | 2027E  | 2028E  | 2029E  |
|------------------------------------|-------|-------|-------|-------|-------|-------|--------|--------|--------|--------|
| Revenue                            | 3,907 | 5,443 | 7,273 | 6,322 | 8,030 | 9,327 | 11,694 | 14,392 | 18,422 | 22,435 |
| YoY                                | 25%   | 39%   | 34%   | -13%  | 27%   | 16%   | 25%    | 23%    | 28%    | 22%    |
| GM                                 | 23.6% | 30.8% | 38.0% | 19.3% | 18.0% | 21.0% | 24.5%  | 27.1%  | 29.1%  | 31.3%  |
| Gross profit                       | 921   | 1,676 | 2,762 | 1,218 | 1,448 | 1,957 | 2,863  | 3,905  | 5,360  | 7,015  |
| Opex                               | 609   | 283   | 926   | 860   | 975   | 847   | 1,132  | 1,527  | 2,053  | 2,587  |
| YoY                                | 3%    | -53%  | 227%  | -7%   | 13%   | -13%  | 34%    | 35%    | 34%    | 26%    |
| Opex ratio                         | 15.6% | 5.2%  | 12.7% | 13.6% | 12.1% | 9.1%  | 9.7%   | 10.6%  | 11.1%  | 11.5%  |
| Operating profit                   | 312   | 1,393 | 1,836 | 358   | 473   | 1,110 | 1,731  | 2,378  | 3,307  | 4,428  |
| Non-op                             | 425   | 448   | 378   | 830   | 386   | -37   | 22     | -109   | -149   | -200   |
| Pre-tax profit                     | 737   | 1,840 | 2,214 | 1,187 | 859   | 1,073 | 1,753  | 2,269  | 3,158  | 4,228  |
| Tax benefit (expense)              | -68   | -65   | -16   | -63   | -129  | -84   | -211   | -295   | -411   | -677   |
| Minority                           | -46   | 73    | 380   | 222   | 237   | 304   | 134    | 161    | 169    | 202    |
| Net profit                         | 716   | 1,702 | 1,818 | 903   | 493   | 685   | 1,408  | 1,813  | 2,579  | 3,349  |
| EPS (US\$)                         | 0.11  | 0.22  | 0.23  | 0.11  | 0.06  | 0.09  | 0.18   | 0.23   | 0.32   | 0.42   |
| YoY Growth                         | 131%  | 101%  | 7%    | -50%  | -46%  | 39%   | 105%   | 29%    | 42%    | 30%    |
| 2028E target P/E                   |       |       |       |       |       |       |        |        | 80.7   |        |
| Target multiple x EPS              |       |       |       |       |       |       |        |        | 26.0   |        |
| Discounted back to 2026; TP (HK\$) |       |       |       |       |       |       | 153.0  |        |        |        |
| Implied P/E                        |       |       |       |       |       |       | 112    | 87     | 61     | 47     |
| Implied P/B                        |       |       |       |       |       |       | 7      | 6      | 6      | 5      |
| COE assumption                     |       |       |       |       |       |       |        |        |        |        |
| Beta                               |       |       |       |       |       |       | 1.8    |        |        |        |
| Risk free                          |       |       |       |       |       |       | 3.5%   |        |        |        |
| Market risk premium                |       |       |       |       |       |       | 6.5%   |        |        |        |
| COE                                |       |       |       |       |       |       | 15.0%  |        |        |        |

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 3: SMIC P&L Summary**

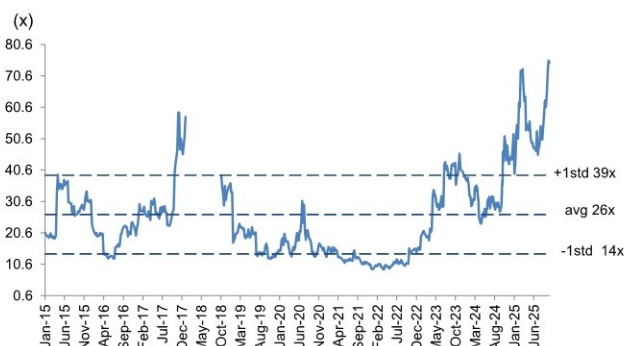
| (US\$m)                | 1Q25   | 2Q25   | 3Q25  | 4Q25  | 1Q26   | 2Q26  | 3Q26E | 4Q26E  | 2022   | 2023   | 2024   | 2025  | 2026E   | 2027E   | 2028E   | 2029E   |
|------------------------|--------|--------|-------|-------|--------|-------|-------|--------|--------|--------|--------|-------|---------|---------|---------|---------|
| Revenue                | 2,247  | 2,209  | 2,382 | 2,489 | 2,505  | 3,006 | 3,019 | 3,164  | 7,273  | 6,322  | 8,030  | 9,327 | 11,694  | 14,392  | 18,422  | 22,435  |
| Gross profit           | 506    | 450    | 523   | 478   | 504    | 761   | 752   | 847    | 2,762  | 1,218  | 1,448  | 1,957 | 2,863   | 3,905   | 5,360   | 7,015   |
| Operating expense      | (196)  | (299)  | (172) | (180) | (256)  | (226) | (271) | (379)  | (926)  | (860)  | (975)  | (847) | (1,132) | (1,527) | (2,053) | (2,587) |
| Operating income       | 310    | 151    | 351   | 299   | 248    | 534   | 481   | 468    | 1,836  | 358    | 473    | 1,110 | 1,731   | 2,378   | 3,307   | 4,428   |
| Pre tax profit         | 349    | 160    | 337   | 227   | 255    | 810   | 482   | 481    | 2,214  | 1,187  | 859    | 1,073 | 1,753   | 2,269   | 3,158   | 4,228   |
| Net income             | 188    | 132    | 192   | 173   | 197    | 479   | 395   | 394    | 1,818  | 903    | 493    | 685   | 1,408   | 1,813   | 2,579   | 3,349   |
| EPS (US\$)             | 0.02   | 0.02   | 0.02  | 0.02  | 0.02   | 0.06  | 0.05  | 0.05   | 0.23   | 0.11   | 0.06   | 0.09  | 0.18    | 0.23    | 0.32    | 0.42    |
| <b>Margins / ratio</b> |        |        |       |       |        |       |       |        |        |        |        |       |         |         |         |         |
| Gross margin           | 22.5%  | 20.4%  | 22.0% | 19.2% | 20.1%  | 25.3% | 24.9% | 26.8%  | 38.0%  | 19.3%  | 18.0%  | 21.0% | 24.5%   | 27.1%   | 29.1%   | 31.3%   |
| Opex ratio             | -8.7%  | -13.5% | -7.2% | -7.2% | -10.2% | -7.5% | -9.0% | -12.0% | -12.7% | -13.6% | -12.1% | -9.1% | -9.7%   | -10.6%  | -11.1%  | -11.5%  |
| Operating margin       | 13.8%  | 6.8%   | 14.7% | 12.0% | 9.9%   | 17.8% | 15.9% | 14.8%  | 25.2%  | 5.7%   | 5.9%   | 11.9% | 14.8%   | 16.5%   | 17.9%   | 19.7%   |
| Net margin             | 8.4%   | 6.0%   | 8.1%  | 6.9%  | 7.9%   | 15.9% | 13.1% | 12.5%  | 25.0%  | 14.3%  | 6.1%   | 7.3%  | 12.0%   | 12.6%   | 14.0%   | 14.9%   |
| <b>QoQ</b>             |        |        |       |       |        |       |       |        |        |        |        |       |         |         |         |         |
| Revenue                | 2%     | -2%    | 8%    | 4%    | 1%     | 20%   | 0%    | 5%     |        |        |        |       |         |         |         |         |
| Gross profit           | 1%     | -11%   | 16%   | -9%   | 5%     | 51%   | -1%   | 13%    |        |        |        |       |         |         |         |         |
| Operating income       | 45%    | -51%   | 133%  | -15%  | -17%   | 116%  | -10%  | -3%    |        |        |        |       |         |         |         |         |
| Pre tax profit         | -2%    | -54%   | 110%  | -33%  | 13%    | 217%  | -41%  | 0%     |        |        |        |       |         |         |         |         |
| Net income             | 75%    | -30%   | 45%   | -10%  | 14%    | 143%  | -17%  | 0%     |        |        |        |       |         |         |         |         |
| EPS (US\$)             | 75%    | -30%   | 45%   | -10%  | 14%    | 143%  | -17%  | 0%     |        |        |        |       |         |         |         |         |
| <b>YoY</b>             |        |        |       |       |        |       |       |        |        |        |        |       |         |         |         |         |
| Revenue                | 28%    | 16%    | 10%   | 13%   | 11%    | 36%   | 27%   | 27%    | 34%    | -13%   | 27%    | 16%   | 25%     | 23%     | 28%     | 22%     |
| Gross profit           | 111%   | 70%    | 18%   | -4%   | 0%     | 69%   | 44%   | 77%    | 65%    | -56%   | 19%    | 35%   | 46%     | 36%     | 37%     | 31%     |
| Operating income       | 12767% | 73%    | 107%  | 40%   | -20%   | 255%  | 37%   | 57%    | 32%    | -81%   | 32%    | 134%  | 56%     | 37%     | 39%     | 34%     |
| Pre tax profit         | 369%   | -14%   | 39%   | -36%  | -27%   | 405%  | 43%   | 112%   | 20%    | -46%   | -28%   | 25%   | 63%     | 29%     | 39%     | 34%     |
| Net income             | 162%   | -19%   | 29%   | 61%   | 5%     | 262%  | 106%  | 128%   | 7%     | -50%   | -45%   | 39%   | 106%    | 29%     | 42%     | 30%     |
| EPS (US\$)             | 161%   | -20%   | 28%   | 60%   | 5%     | 261%  | 106%  | 128%   | 7%     | -50%   | -46%   | 39%   | 105%    | 29%     | 42%     | 30%     |

Source: Company data, Goldman Sachs Global Investment Research

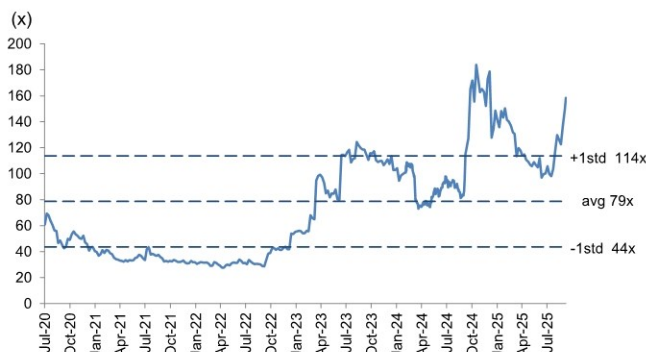
**Exhibit 4: SMIC's global peers' P/E vs. EPS growth correlation**

Note: Not covered company estimates are per LSEG consensus.

Source: Company data, LSEG, Goldman Sachs Global Investment Research

**Exhibit 5: SMIC-H: P/E has been increasing due to stronger outlook for long-term growth 12M forward P/E**

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

**Exhibit 6: SMIC-A: P/E has been at historical high levels**

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research



Price Target Risks and Methodology - SMIC

**Valuation methodology:** We are Buy rated on SMIC A/H. Our 12-m target price for the H-share is **HK\$153.0** and is based on an 80.7x 2028E P/E, discounted back to 2026E with a COE of 15%. Our target multiple is based on SMIC’s EPS growth relative to peers’ P/E vs. EPS growth correlation. Our 12-m target price for the A-share is **Rmb257.9** and is based on a 196% premium over the H-share that is in line with the avg of SMIC’s A/H premium since Jan 2024.

**Key risks:** 1) Weaker-than-expected demand in smartphones and consumer electronics; 2) Slower-than-expected product diversification and capacity expansions; and 3) Access to certain equipment/material supply may be restricted as the company is on the US BIS Entity List.

|           |                                     |                         |                       |
|-----------|-------------------------------------|-------------------------|-----------------------|
| 0981.HK   | 12m Price Target: <b>HK\$153.00</b> | Price: <b>HK\$70.80</b> | Upside: <b>116.1%</b> |
| 688981.SS | 12m Price Target: <b>Rmb257.90</b>  | Price: <b>Rmb132.87</b> | Upside: <b>94.1%</b>  |

| Buy                                                                                                                                                                                                       |  | GS Forecast                                                              |         |          |          |          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------------------------------------------------------------------------|---------|----------|----------|----------|
| Market cap: HK\$566.5bn / \$72.2bn<br>Enterprise value: HK\$745.4bn / \$95.0bn<br>3m ADTV: HK\$10.7bn / \$1.4bn<br>China<br>Greater China Technology<br>M&A Rank: 3<br>Leases incl. in net debt & EV?: No |  |                                                                          | 12/25   | 12/26E   | 12/27E   | 12/28E   |
|                                                                                                                                                                                                           |  | Revenue (\$ mn) New                                                      | 9,326.8 | 11,694.2 | 14,392.1 | 18,422.0 |
|                                                                                                                                                                                                           |  | Revenue (\$ mn) Old                                                      | 9,326.8 | 11,578.5 | 13,869.2 | 16,753.0 |
|                                                                                                                                                                                                           |  | EBITDA (\$ mn)                                                           | 4,919.9 | 6,668.3  | 8,009.4  | 9,476.5  |
|                                                                                                                                                                                                           |  | EPS (\$) New</td <td>0.09</td> <td>0.18</td> <td>0.23</td> <td>0.32</td> | 0.09    | 0.18     | 0.23     | 0.32     |
|                                                                                                                                                                                                           |  | EPS (\$) Old                                                             | 0.09    | 0.15     | 0.20     | 0.28     |
|                                                                                                                                                                                                           |  | P/E (X)                                                                  | 81.5    | 51.3     | 39.8     | 28.0     |
|                                                                                                                                                                                                           |  | P/B (X)                                                                  | 2.6     | 3.2      | 2.9      | 2.7      |
|                                                                                                                                                                                                           |  | Dividend yield (%)                                                       | 0.0     | 0.0      | 0.0      | 0.0      |
|                                                                                                                                                                                                           |  | CROCI (%)                                                                | 7.5     | 8.7      | 8.9      | 9.0      |
|                                                                                                                                                                                                           |  |                                                                          | 6/26    | 9/26E    | 12/26E   | 3/27E    |
| EPS (\$)                                                                                                                                                                                                  |  | 0.09                                                                     | 0.05    | 0.05     | 0.05     |          |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 14 Aug 2026 close.

## Disclosure Appendix

### Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

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Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: SMIC (\$5.38), SMIC (A) (Rmb132.87) and SMIC (H) (HK\$70.80)

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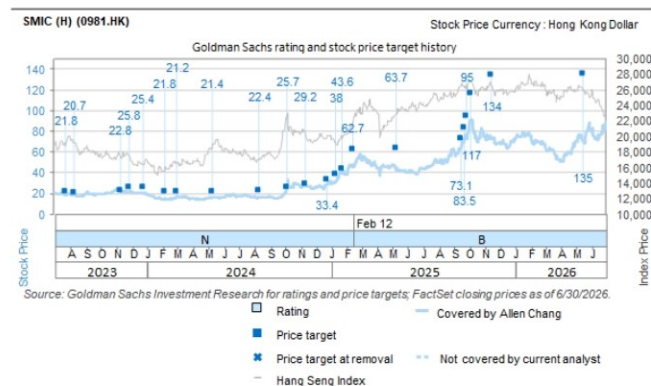
## Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

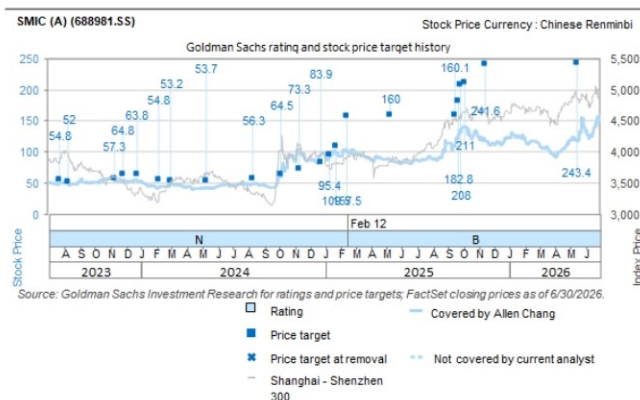
|        | Rating Distribution |      |      |  | Investment Banking Relationships |      |      |
|--------|---------------------|------|------|--|----------------------------------|------|------|
|        | Buy                 | Hold | Sell |  | Buy                              | Hold | Sell |
| Global | 50%                 | 34%  | 16%  |  | 65%                              | 59%  | 43%  |

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

## Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.



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## Target price history table(s)

### SMIC (A) (688981.SS)

| Date of report | Target price (Rmb) | Closing price (Rmb) |
|----------------|--------------------|---------------------|
| 15-May-26      | 243.40             | 119.02              |
| 14-Nov-25      | 241.60             | 118.18              |
| 05-Oct-25      | 211.00             | 140.13              |
| 26-Sep-25      | 208.00             | 132.27              |
| 22-Sep-25      | 182.80             | 128.92              |
| 15-Sep-25      | 160.10             | 108.66              |
| 10-May-25      | 160.00             | 85.83               |
| 12-Feb-25      | 157.50             | 104.32              |
| 22-Jan-25      | 109.50             | 100.24              |
| 09-Jan-25      | 95.40              | 91.32               |
| 23-Dec-24      | 83.90              | 95.18               |
| 10-Nov-24      | 73.30              | 100.30              |
| 06-Oct-24      | 64.50              | 59.99               |
| 12-Aug-24      | 56.30              | 48.78               |
| 10-May-24      | 53.70              | 42.99               |
| 02-Mar-24      | 53.20              | 48.51               |
| 06-Feb-24      | 54.80              | 44.97               |
| 26-Dec-23      | 63.80              | 51.85               |
| 28-Nov-23      | 64.80              | 54.55               |
| 10-Nov-23      | 57.30              | 54.39               |

### SMIC (H) (0981.HK)

| Date of report | Target price (HK\$) | Closing price (HK\$) |
|----------------|---------------------|----------------------|
| 15-May-26      | 135.00              | 71.15                |
| 14-Nov-25      | 134.00              | 73.50                |
| 05-Oct-25      | 117.00              | 90.90                |
| 26-Sep-25      | 95.00               | 72.95                |
| 22-Sep-25      | 83.50               | 73.35                |
| 15-Sep-25      | 73.10               | 63.00                |
| 10-May-25      | 63.70               | 43.00                |
| 12-Feb-25      | 62.70               | 47.95                |
| 22-Jan-25      | 43.60               | 42.10                |
| 09-Jan-25      | 38.00               | 31.45                |
| 23-Dec-24      | 33.40               | 29.10                |
| 10-Nov-24      | 29.20               | 28.55                |
| 06-Oct-24      | 25.70               | 27.35                |
| 12-Aug-24      | 22.40               | 16.54                |
| 10-May-24      | 21.40               | 16.26                |
| 02-Mar-24      | 21.20               | 17.04                |
| 06-Feb-24      | 21.80               | 15.34                |
| 26-Dec-23      | 25.40               | 20.15                |
| 28-Nov-23      | 25.80               | 22.75                |
| 10-Nov-23      | 22.80               | 21.80                |

Price targets shown in table(s) are unadjusted for corporate actions.

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